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Basics of Finance - Module - II, III - Assignment.

Module - II - Sources of Finance.

5/5 V.V. good

-> Finance is the lifeblood of a business organisation as due to all the interlinked activities which are being performed by the business organisation.

-> The requirements of various funds which are required by business to carry out their various activities are called business finance.

-> The financial needs of business organisation can be categorized into the following:-

- Fixed Capital
- Working Capital

- Fixed Capital requirements:- In order to start a business, funds are required to purchase fixed assets like land & building etc.

- Working Capital requirements:- The financial requirements of an enterprise do not end with procurement of fixed assets. It is used for holding current assets. Eg:- Stock of Material, bills receivable, etc.

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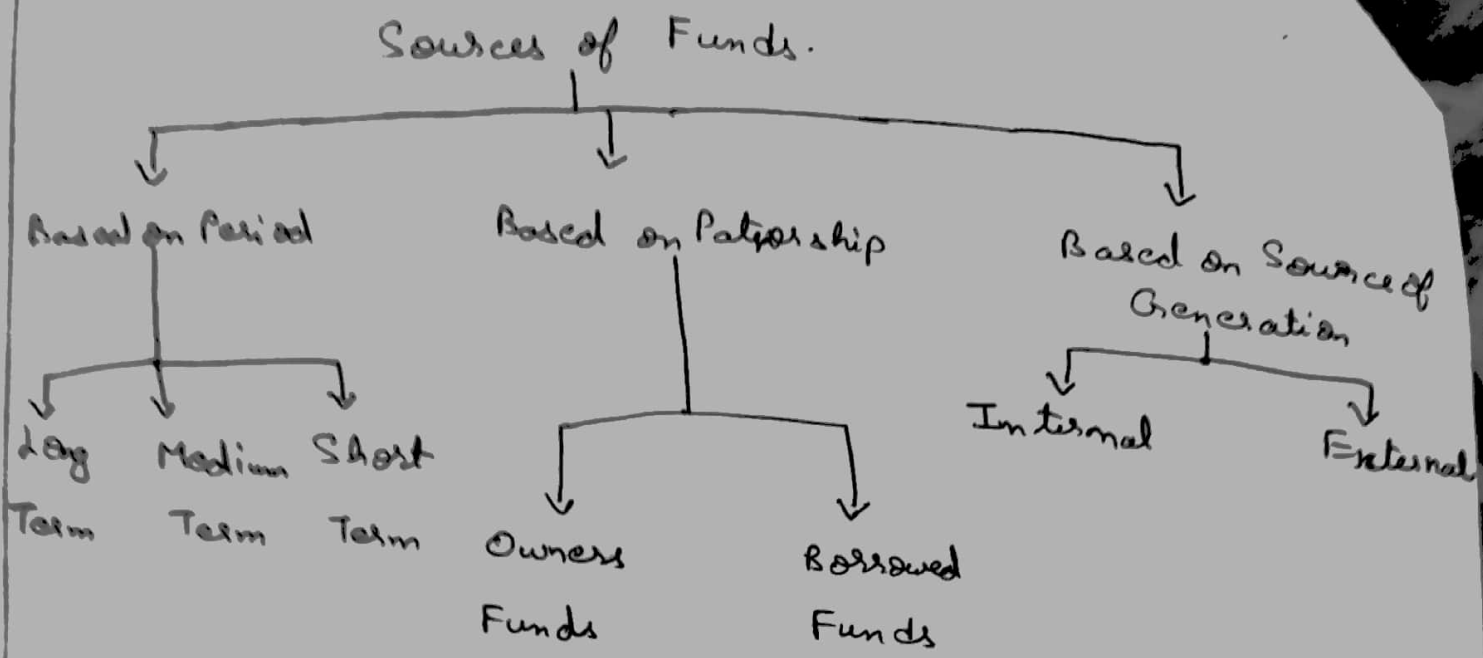
→ Classification :-



→ **Based on Period:-**

Can be classified into :-

- **Long Term:-**

These sources fulfill the financial requirement of an enterprise for a period exceeding 5 years & include sources as shares & debentures.

- Medium Term:-

The funds are required for a period of more than 1 year but less than 5 years.

These sources include borrowings from commercial banks, etc.

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→ **Based on Ownership:-**

The sources can be classified into "owner funds" & "borrowed funds".

- **Owner funds:-**

Funds which are being invested / provided by the owners of the business enterprise which may be a sole trader / partners. This remains invested for a longer time in the business.

- **Borrowed Funds:-**

It refers to the funds raised through loans / borrowings. The sources for these income include commercial banks, loans, etc.

→ **Based on the sources of generation:-**

Sources are divided into two categories:-

- **Internal Source:-**

The funds from these sources are those that are generated from within the business.

Eg:- By accelerating collection of receivables, etc.

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- **External Sources:-**

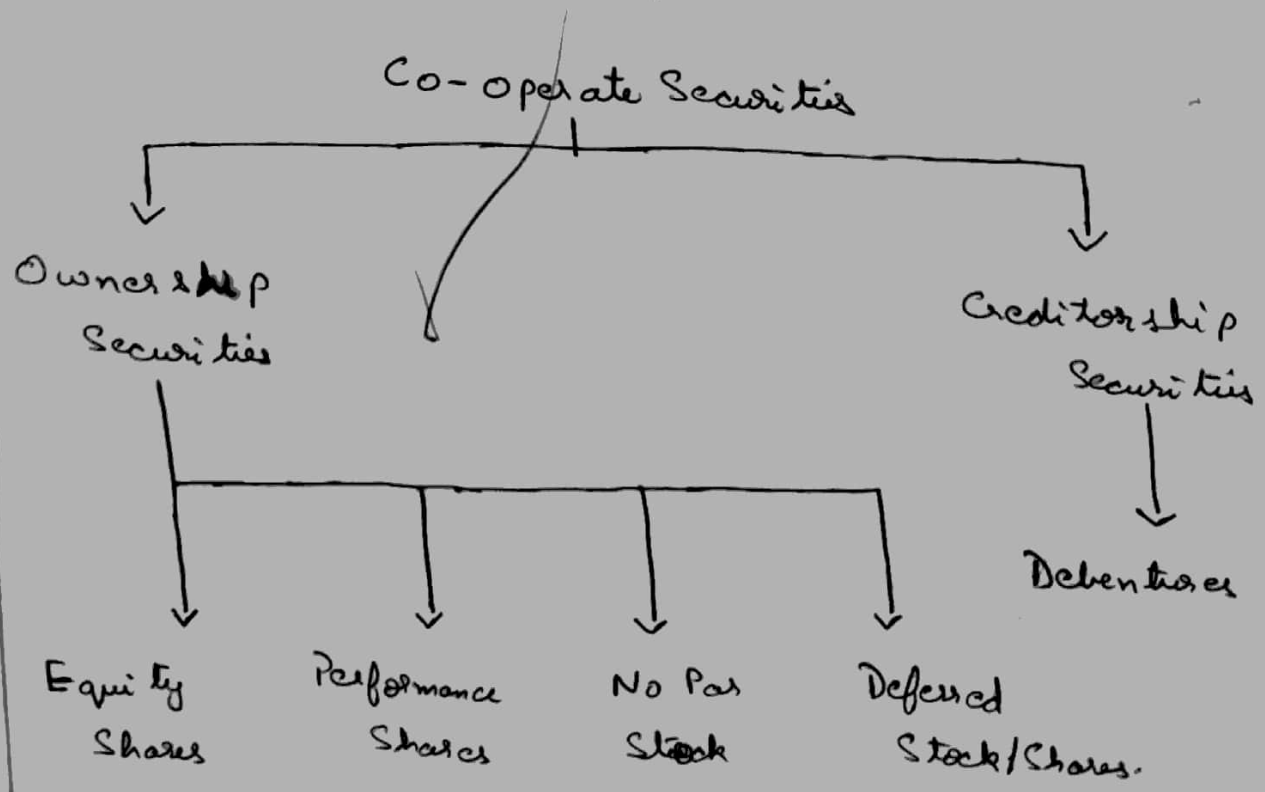
Includes those sources that lie outside an organisation such as suppliers, lenders & investors.

External funds may be costly as compared to those raised through internal sources.

-) **Security Financing:-**

Co-operate securities can be classified into 2:-

- Ownership Securities / Capital Stock.
- Creditorship Securities / Debt Capital



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Ownership Securities:-

This term is also known as capital stock represents shares.

Share are most universal form of raising long-term funds from the market.

The capital of the company is divided into a no. of equal parts known as shares.

- **Equity Shares:-**

~~It is~~ also known as common / ordinary shares, represents the owners capital in a company.

They do not carry any special right in respect of annual dividend the return of capital, in the event of winding up of the company.

Equity shareholders are the real owners of the company.

They may not recieve any return, if there are no profits.

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→ Characteristics of Equity Shares:-

- Maturity:-

They have permanent nature of capital, which has no maturity period. It cannot be redeemed during the lifetime of the company.

- Right to Income:-

Equity shareholders have a residual claim on the income of the company. They have the claim on the income only after the payment of preference dividend.

- Claim on Assets:-

Claim of equity shareholders on the assets of the company is also residual.

- Right to Control:-

Shareholders have full right to control the company as owners of the company.

- Pre-emptive Right:-

This right protects their interest in the company.

- Limited liability:-

Limited to the amount of shares they have purchased.

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→ Advantages :-

- No change on Assets
- No-recurring fixed payments
- Long term funds.
- Right to participate in affairs.

→ Disadvantages:-

- Difficulty in trading on equity.
- Speculation
- Manipulation
- Concentration of control

→ Preference Shares:-

They are a type of shares which carry priority rights with regard to payment of dividend & return of capital.

Whenever the company has distributive profits the dividend is first paid on preference share capital.

A fixed rate of dividend is paid on preference share capital.

Preference share holder do not have voting rights so they have no say in the management of the company.

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→ Types of Preference Shares:-

• Cummulative Vs Non-Cummulative:-

The preference share which enjoy the right to accumulate upaid dividends by the future years is known as cummulative.

On non-cummulative share, dividend is not accumulated if it is not paid in a particular year.

→ Partioning & Non-Partioning:-

Preference Shares which have a right of participate in the further surplus of a company shares are called partioning.

The non participating preference are such which do not enjoy such rights of participation in the profits of the company.

→ Convertible & Non-Convertible:-

Preference shares that can be converted into equity shares within a specified period of time are known as convertible.

Non-Convertible shares are such that cannot be converted into equity shares.

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→ Advantages :-

- Suitable to caution investors
- Retention of control
- Increase in the income of equity shareholders.
- Flexibility in the capital structure.
- No change of assets of the company.

→ Disadvantages :-

- Permanent Burden
- No voting rights
- Redemption during the period of depression.

→ Deffered Shares :-

The shares which are issued to the founders / promoters are called deffered shares / founders shares.

The promoters take these shares for enabling them to control the company.

These share have extra ordinary rights through their face value is very low.

The holders of deffered shares can get dividend only after preference & entity shareholder shall have received their dividend.

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→ Creditorship Securities:-

→ Debentures:-

They are an important instrument for raising long term debt capital.

A company can raise funds through issue of debentures which bear a fixed rate of interest.

The debenture issued by a company is an acknowledgement that the company has borrowed a certain amount of money which it promises to repay at a future date.

Debenture holders are termed as creditors of the company.

→ Types of Debentures:-

- Secured & Unsecured:-

Secured debentures are such which create a charge on the assets of company thereby mortgaging the assets of company.

Unsecured debentures do not carry any charge/security.

- Registered & Bearer:-

Registered debentures are those which are duly recorded in the register of debenture holders maintained by the company.

The debentures which are transferable by the delivery are called bearer debenture.

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-> Convertible & Non-Convertible:-

Convertible debentures are those debentures that can be converted into equity shares after the expiry of a specified period.

Non-Convertible debentures are those which cannot be converted into equity shares.

-> First & Second:-

Debentures that are repaid before other debentures are repaid are known as first.

Second debenture are those which are paid after the first debentures have been paid back.

-> Advantages:-

- It is performed by investors who want fixed income at lower risk.

They are fixed charge funds & do not participate in profits of the company.

-> Disadvantages:-

With the issue of debentures, the capacity of a company to further borrow funds reduces.

Cost of raising finance through debentures is also high because of high stamp duty.

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→ **Bond:**

A bond is a fixed income instrument that represents a loan made of an investor to a borrower.

Bonds are used by companies, municipalities, states & sovereign governments to finance projects & operations.

Owners of bonds are debt holders / creditors of the issuer.

→ **Types of Bonds:-**

- **Corporate Bonds:-**
  Issued by companies. Companies issue bonds rather seek bank loans for debt financing in many cases.

- **Municipal Bonds:-**
  Issued by states & municipalities. Some municipal bonds offer tax free coupon income for investors.

- **Government Bonds:-**
  Issued by the US treasury bonds issued by the treasury with
  a year / less maturity - Bills.
  1 - 10 years - Notes
  >10 years to maturity - Bonds.

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- Agency Bonds:-

Issued by government affiliated organization such as Fannie Mae.

-> Internal Financing:-

Internal sources of finance refers to money that comes from within a business.

There are several internal methods a business can use including owners capital, retained profit & selling assets.

This may be used when either a business no longer has a use for the product / they need to raise money quickly.

Internal Source of finance includes:-

- Retained Earning
- Depreciation Funds
- Share Capital
- Debentures
- Public Deposits
- Loans from banks & financial institution.

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→ Loan Financing:-

Types of loan based on security provided:-

- Secured Loans:-

There loans require the borrower to pledge collateral for the money being borrowed.

In case, the borrower is unable to repay the loan, the bank reserves the right to utilize the pledged collateral to recover the pending payment.

The interest rate for such loans is much lower as compared to unsecured loans.

- Unsecured Loans:-

These loans are those that do not require any collateral for loan disbursement.

The bank analyzes the past relationship with the borrower, the credit score & other factors to determine whether the loan should be given (or) not.

The interest rate for such loans can be higher as there is no way to recover the loan amount if the borrower defaults.

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-> Innovative Source of Finance:-

Funding sources available to businesses may include seeking equity finance, applying for government / university funding & considering an initial public offering.

Some important sources of funding for innovation activities include:

- your own funds
- governments grants
- family & friends
- debt
- equity
- business angels.
- venture Capital
- Crowd Funding.

-> Venture Capital:-

It is a private/ institutional investment made into early-stage / start up companies.

It involves risk in the expectation of a sizeable gain.

It is money involved in businesses that are small / exist only as an initiative.

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It is the most suitable option for funding a costly capital source for companies & most for businesses having large upfront capital requirements which have no other cheap alternatives.

→ Features :-

- High risk
- Lack of integrity
- Long term horizon
- Equity participation & capital gains.

→ Venture capital funding process typically involves 4 phases:-

- Idea generation & submission of the business.
- Introductory Meeting.
- Due diligence
- Term sheets & funding.

→ Seed Capital :-

It is initial fund / money which is required by a budding entrepreneur to start a new business venture.

'Seed' here refers to the business which is at the beginning stage. 'Capital' refers to the money required at the very beginning of a business.

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Private Equity:-

It is an alternative investment class & consists of capital that is not listed on a public exchange.

It is composed of funds & investors that directly invest in private companies

→ **Advantages:-**

Offers several advantages to companies & start ups.

It is favoured by companies because it allows them to access to liquidity as an alternative to conventional financial mechanisms.

Disadvantages:-

A firm has to undertake a search for a buyer in order to make a sale of its investment / company.

It has unique challenges - it can be difficult to liquidate holdings in private equity.

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